Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

ENERGY REGULATORY COMMISSION
APPROVED FOR POSTING
www.erc.gov.ph

RESOLUTION NO. 03, Series of 2021

A RESOLUTION ADOPTING THE REVISED GUIDELINES FOR THE FINANCIAL CAPABILITY STANDARDS OF GENERATION COMPANIES

WHEREAS, Republic Act No. 9136, otherwise known as the Electric Power Industry Reform Act of 2001 or EPIRA, provides that it is the policy of the state to: (i) ensure the quality, reliability, security, and affordability of the supply of electric power; (ii) ensure full public accountability to achieve greater operational and economic efficiency; and (iii) protect the public interest as it is affected by the services of providers of electric power;

WHEREAS, in order to give life to the said state policies, Section 43 (b)(ii) of EPIRA mandated the Energy Regulatory Commission (ERC) to promulgate and enforce a National Grid Code and Distribution Code which shall include the financial capability standards for Generation Companies (GenCos);

WHEREAS, on 02 March 2002**,** the ERC promulgated the Philippine Grid Code (PGC) which established the basic rules, procedures, requirements and standards that would govern the operation, maintenance, and the development of the high-voltage backbone transmission system in the country, including the financial capability standards for GenCos;

WHEREAS, on 14 April 2005, the ERC issued *Resolution No. 06, Series of 2005,* entitled *"Adopting the Guidelines for the Financial Standards of Generation Companies (Financial Guidelines)";*

WHEREAS, on 05 October 2016, the ERC adopted the 2016 PGC;

WHEREAS, on 07 March 2019, the Philippine Independent Power Producers Association, Inc. (PIPPA) filed a Petition for Amendment of an existing Rule docketed as ERC Case No. 2019-001 RM entitled "*In the Matter*

of the Petition for the Amendment of the Guidelines for the Financial Standards of Generation Companies".

WHEREAS, on 06 May 2019, the ERC issued a *"Notice of Proposed Rule-Making"* setting the determination of compliance with the jurisdictional requirements, expository presentation, and public consultations in Luzon, Visayas and Mindanao, as follows:

13 June 2019	Jurisdictional and Expository Presentation ERC Main Office, Pasig City
20 June 2019	Expository Presentation and Public Consultation ERC Visayas Office, Cebu City
27 June 2019	Expository Presentation and Public Consultation ERC Mindanao Office, Davao City
19 July 2019	Public Consultation ERC Main Office, Pasig City

WHEREAS, an Order was issued resetting the public consultation from 19 July 2019 to 29 July 2019 in view of PIPPA's *"Motion to Reset"* due to unavailability of PIPPA's witness and authorized presenter;

WHEREAS, on 15 January 2020, the ERC conducted a round table discussion with the Fund Managers Association of the Philippines, Inc. (FMAP) to get some perspective on the proposed amendments of PIPPA;

WHEREAS, on 17 July 2020, the ERC approved for posting in its official website (www.erc.gov.ph) the second (2nd) draft of the Revised Financial Guidelines for all interested parties to submit their comments to the said draft on or before 31 July 2020;

WHEREAS, on various dates from 29 July to 07 August 2020, the ERC received comments on the 2nd draft of the Revised Financial Guidelines from the following: (1) Aboitiz Power Corporation; (2) SMC Global Power Holdings and its Independent Power Producer Administrators; (3) Vivant Energy; (4) Millennium Energy, Inc. and Panasia Energy, Inc.; (5) AC Energy Philippines; (6) First Gen; (7) Manila Electric Company (MERALCO); (8)

Mindanao Energy Systems, Inc. (9) Global Business Power Corporation; (10) GNPower; (11) Oriental Mindoro Electric Cooperative, Inc. (ORMECO) ; and (12) PIPPA - SYMECS Law;

WHEREAS, based on the study conducted by the Commission, only 32% of the total number of Generation Companies with issued COCs are compliant with the required 1.5x Debt Service Capability Ratio (DSCR);

WHEREAS, the Commission recognizes the need to amend and update the Financial Guidelines promulgated way back in 2005, considering the significant changes in the economic conditions in the Philippines vis-à-vis the ERC's mandate under the EPIRA to ensure quality and reliable delivery of power services to the public, thereby promoting and protecting consumer interest;

WHEREAS, after a thorough review of all information gathered by the Commission pursuant to its regulatory powers, as well as a careful evaluation of the comments submitted by the various stakeholders, the ERC finds merit on the proposed amendments to the Financial Guidelines particularly on the financial standard previously set by the ERC in 2005 at a level of 1.5x Debt Service Capability Ratio (DSCR), with the end view of promoting overall financial viability of the generation sector; safeguard against the risk of financial non- performance; and encourage efficiency to ensure the quality and reliability of supply which will ultimately redound to the protection of public interest;

NOW, THEREFORE, BE IT RESOLVED, as it is hereby resolved, that the ERC adopts and issues the **REVISED GUIDELINES FOR THE FINANCIAL CAPABILITY STANDARDS OF GENERATION COMPANIES**, hereto attached as Annex "A" and made an integral part of this Resolution.

This Resolution shall take effect fifteen (15) days after its publication in a newspaper of general circulation in the country.

Let copies of this Resolution be furnished the University of the Philippines Law Center – Office of the National Administration Register (UPL-ONAR) and all industry stakeholders, as well as published in the ERC

website and such other online platform available to the Commission under the current circumstances.

Pasig City, 11 November 2020.

AGNES VST DEVANADERA
Chairperson and CEO

ERC
Office of the Chairperson
AVSTD-2021-02-510-0048

ALEXIS M. LUMBATAN
Commissioner

(on leave)
CATHERINE P. MACEDA
Commissioner

FLORESINDA G. BALDO-DIGAL
Commissioner

MARKO ROMEO L. FUENTES
Commissioner

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ANNEX "A"

Republic of the Philippines
ENERGY REGULATORY COMMISSION
San Miguel Avenue, Pasig City

REVISED GUIDELINES FOR THE FINANCIAL CAPABILITY STANDARDS OF GENERATION COMPANIES

Pursuant to Section 6 and 43 of Republic Act No. 9136 (R.A. 9136), its Implementing Rules and Regulations (IRR) and the Philippine Grid Code (PGC), the Energy Regulatory Commission (ERC) hereby adopts and promulgates this Revised Guidelines for the Financial Capability Standards of Generation Companies ("Revised Financial Guidelines") which prescribes and implements the financial capability standards required by law for the generation sector of the electricity industry.

ARTICLE I
GENERAL PROVISIONS

Section 1. Objectives. This Revised Financial Guidelines has the following objectives:

a. Promote the overall financial viability of the generation sector;
b. Set the minimum financial capability standards for Generation Companies (GenCos);
c. Safeguard the electric power industry, particularly the consumers, against the risk of financial non-performance;
d. Ensure the affordability of electric power supply while maintaining the required quality and reliability;
e. Protect the public interest;
f. Prescribe the frequency and form of GenCos submissions; and
g. Prescribe the actions for non-compliance with the minimum financial capability standards for GenCos.

Section 2. Guiding Principles

a. These Revised Financial Guidelines will set out the minimum financial capability standards to ensure that GenCos meet these standards to protect the public interest as required under Section 43, b(ii) of RA 9136 and provided by Appendix 1, FS.A 1.3 of the PGC.

b. The ERC may require other/additional standards for compliance in connection with other applications filed/to be filed before it by GenCos.

c. To promote continuous improvement in efficiency and financial performance in the sector, the ERC may revise/update the financial capability standards as deemed necessary.

Section 3. Scope of Application

These Revised Financial Guidelines shall apply to all GenCos, unless otherwise exempted by any law or statute, authorized by the ERC to operate facilities used in the generation of electricity with issued Certificate of Compliance (COC).

For Generation Facilities operated by an entity other than the owner, in which the ERC reserves the authority to determine in whose name the application for the issuance of a COC should be made in accordance with the Revised Rules for the Issuance of Certificates of Compliance for Generation Companies, Qualified End-Users and Entities with Self-Generation Facility, as may be amended, the entity to whom the COC was issued shall be obligated to perform and comply with these Revised Financial Guidelines.

For Generation Facilities covered by the National Power Corporation Independent Power Producer (IPP) Contracts, considering that the COC issued to the IPPs of the said Generation Facilities are deemed issued also in favor of the respective IPP Administrator (IPPAs), the IPPAs shall also comply with the provision of these Revised Financial Guidelines.

Section 4. Definition of Terms

a. "Amortization" refers to the allocation of depreciable amount of an intangible asset over its useful life.

b. "Audited Financial Statement" or "AFS" refers to a financial document that bears the report of independent auditors or Certified Public Accountants.

c. "Certificate of Compliance" or "COC" refers to a license issued by the ERC in favor of a person or entity to operate a power plant or other facilities used in generation of electricity pursuant to Section 6 of RA 9136 and Section 4 of the IRR of RA 9136.

d. "Debt" refers to any indebtedness of the borrower maturing by its terms more than one year after the date on which it is originally incurred (including that portion of any such debt payable within one year from the date of any debt-service ratio calculation), provided that debt shall be counted only to the extent that it is drawn down and outstanding.

e. "Debt Service" refers to an aggregate annual amount of Debt repayments (including lease obligations under power purchase agreements and sinking fund payments, if any) and interest and other charges on Debt, including capitalized interest during construction on loans for capital expenditures.

f. "Debt Service Capability Ratio" or "DSCR" refers to the measure of the GenCo's ability to fulfill its debt obligations computed as the ratio of Earnings before Interest and Taxes (EBIT) plus depreciation to Debt Service. Amortization expenses shall also be treated similarly to depreciation.

g. "Depreciation" refers to the process of allocating the cost of asset over its useful life to account for a reasonable amount of exhaustion, wear, and tear of the property used in the business.

h. "Earnings Before Interest and Taxes" or "EBIT" is equal to revenues less expenses from the GenCo's principal business activities; is identical to income from operations as determined under the Philippine Financial Reporting Standards (PFRS).

i. "Energy Regulatory Commission" or "ERC" refers to the regulatory agency created under RA 9136.

j. "Generation Company" or GenCo" refers to any person or entity authorized by ERC to operate facilities used in the Generation of Electricity.

k. "Generation Facility" refers to a facility for the production of electricity.

l. "Generation of Electricity" refers to the production of electricity by a GenCo or a co-generation facility pursuant to the provisions of RA 9136.

m. "Grid Code" refers to the set of rules and regulations governing the safe and reliable operation, maintenance and development of the high voltage backbone transmission system and its related facilities.

n. "Independent Power Producer" or "IPP" refers to an existing power generating entity which is not owned by NPC.

o. "IPP Administrator" or "IPPA" refers to qualified independent entities appointed by PSALM Corporation who shall administer, conserve, and manage the contracted energy output of NPC IPP contracts, including selling the contracted energy output of these contracts and offering ancillary services, where applicable.

p. "Lease" refers to a contract, or part of a contract, that conveys a right to use the asset (the underlying asset) for a period of time in exchange for consideration[1].

p.1. "Capital" or "Financial Lease" refers to a lease that transfers substantially all the risks and rewards incidental to ownership of an asset. Title may or may not be transferred.

p.2. "Operating Lease" refers to a lease other than a capital lease.

q. "Material Change" refers to any event which has a pertinent impact and substantial effect on the company's ownership, management, operations, financial condition and performance and which would require an amendment, revision, modification or any changes in the information and other details relative to any documents and compliances submitted by the GenCo before the ERC.

r. "National Power Corporation" or NPC refers to the government corporation created under Republic Act No. 6395, as amended.

s. "Power Sector Assets and Liabilities Management Corporation" or "PSALM Corp." refers to the corporation created pursuant to Section 49 of RA 9136.

[1] From International Financial Reporting Standards 16 (Lease)

ARTICLE II
FINANCIAL CAPABILITY STANDARDS

Section 1. Financial Capability Benchmark

a. A GenCo is required to meet a minimum annual DSCR of 1.25x throughout the period covered by its COC. Provided, that if its financial or loan agreements require a higher DSCR, then the higher DSCR shall serve as its minimum requirement.

b. The use of the other financial ratios as prescribed in Appendix 1, FS. A 1.3 of the 2016 PGC to evaluate the financial capability of a GenCo shall be optional on the part of the ERC, *to wit*:

   (i) Leverage Ratios;
   (ii) Liquidity Ratios;
   (iii) Financial Efficiency Ratios; and
   (iv) Profitability Ratios.

ARTICLE III
REQUIREMENTS AND PROCEDURES

Section 1. Annual Submission for the Duration of the COC

a. Within one hundred fifty (150) days from the end of its calendar or fiscal year, the GenCo shall submit a certified true copy of a complete set of its AFS (i.e. statement of financial position, statement of comprehensive income, statement of cash flows, statement of changes in shareholders' equity, notes to financial statements) including the audit opinion and the statement of management's responsibility on the financial statements, duly stamped received by the Bureau of Internal Revenue (BIR) and Securities and Exchange Commission (SEC). The statement of comprehensive income should include a detailed schedule of operating expenses for the period. The submitted financial statements should clearly show the financial positions, results of operations, and cash flows pertaining to the generation business.

b. Together with its AFS, the GenCo shall also submit its DSCR calculation based on its submitted AFS.

Section 2. Program to Comply

a. A GenCo performing below the benchmark is required to submit its Program to Comply within sixty (60) days of receipt of an ERC directive. The Program to Comply shall identify the specific activities to be undertaken by the GenCo in order to meet the Financial Capability Benchmark.

b. Information on the Program to Comply shall include the following:

(b.i) Concrete activities/measures to be undertaken to upgrade performance and their estimated financial effects:
(b.ii) Expected semi-annual targets/milestone achievements; and
(b.iii) Clear and definite timetable for the activities and the targets.

c. The ERC shall inform the GenCo of its action on the GenCo's Program to Comply within sixty (60) days of receipt thereof.

d. The GenCo shall be given one (1) year within which to comply with the ERC-prescribed benchmark. In case of a new owner of a Generation Facility with previously issued COC, the new owner shall be given one (1) year or the remaining life of the COC, whichever is shorter, within which to comply with the ERC-prescribed benchmark.

Section 3. Material Change Affecting Program to Comply

a. Within seven (7) days from the happening of an event which results in a Material Change concerning or potentially affecting the company's ownership, management, operations, financial condition and performance, the GenCo shall submit a written disclosure to the ERC of such fact or event, its impact on the company and its effect on capability of the company in meeting the financial capability standards.

b. The ERC may require the GenCo to submit a revised forecast financial statements for the remaining life of its COC and a revised Program to Comply to consider the new information brought to its attention, which are required to be submitted within sixty (60) days of receipt of an ERC directive.

c. Unless the GenCo formally advises the ERC of any condition affecting the meeting of targets in its Program to Comply, the ERC shall expect the GenCo to comply with the financial capability standards within the prescribed period.

ARTICLE IV
SANCTIONS AND DISCLOSURES

Section 1. Administrative Sanctions

A GenCo that fails to comply with any of the requirements set forth herein shall be subject to the imposition of fines and penalties in accordance with the "Guidelines to Govern the Imposition of Administrative Sanctions in the Form of Fines and Penalties Pursuant to Section 46 of R.A. No. 9136, as Amended".

Section 2. Disclosure of Non-Compliance with the Financial Capability Standards

a. Non-compliance with the financial capability standards by a GenCo may result in a disclosure by the ERC of such fact, together with any mitigating or aggravating circumstances related thereto, via periodic public bulletins. The public bulletin may also include the GenCo's Program to Comply and other disclosures made by the GenCo to the ERC regarding its financial condition and performance.

b. In the determination of whether or not a public bulletin is necessary to be made, the GenCo's operating performance and other factors that may mitigate its poor debt service capability as measured by the DSCR or any of the identified financial capability benchmark under Section 1 (b) Article II hereof shall be considered.

ARTICLE V
CONFIDENTIALITY PROVISIONS

Section 1. Information filed with the ERC in compliance with the requirements of these Revised Financial Guidelines, except as set forth below, shall be made available to any member of the general public, upon request, in the premises and during regular office hours of the ERC.

Section 2. Information that is not historical in nature (e.g. forecast financial statements and 5-year financial plans), information not otherwise required to be disclosed in the GenCo's financial statements by Philippine Financial Reporting Standards (PFRS), or information labelled as "CONFIDENTIAL" as set forth in Section 3, Article V, shall be treated in accordance with the ERC's rules and regulations on confidential treatment of information, as well as any applicable laws and regulations.

Section 3. A GenCo submitting information in compliance with Section 2, Article III (Program to Comply) or Section 3, Article III (Material Change Affecting Program to Comply), may submit written objection to the public disclosure information contained therein and prominently label such document as "CONFIDENTIAL"; otherwise such information is deemed to be available for public disclosure. The ERC shall maintain the confidentiality of the information contained in such document, pending a determination by the ERC of the validity of the request for confidential treatment. If it is determined that confidential treatment is not warranted with respect to all or part of the information in question or that disclosure of such information is required in the public interest, the person requesting confidential treatment of the information shall be notified of this decision by written notification sent by registered mail. Such notice will also advise such person that he has the right, which shall be exercised no later than ten (10) calendar days from receipt of such notification, to request and justify in writing the ERC to reconsider such determination.

The ERC may reconsider such determination only once.

If the ERC makes a determination that any or all of the information in the document is not entitled to confidential treatment, the person who submitted the request shall promptly make an amended filing, removing the label "CONFIDENTIAL" in the revised submission.

ARTICLE VI
EXEMPTIONS

Section 1. NPC and PSALM Corp. shall be exempted from compliance with the financial capability standards prescribed herein.

Section 2. Transferees/new owners of NPC generation assets in missionary electrification areas and other entities authorized to operate Generation Facilities in missionary electrification areas shall be exempt from compliance with the financial capability standards prescribed herein insofar as generation activity in the missionary electrification area is concerned. The exemption is enjoyed only for the duration of the period in which they are provided a subsidy for undertaking the missionary electrification function. Beyond this period, the financial capability standard prescribed in Article II applies.

Section 3. An entity which owns only Generation Facilities used exclusively for its own consumption shall be exempted from compliance with the financial capability standards required under these Revised Financial Guidelines.

ARTICLE VII
EXCEPTION CLAUSE

Where good cause appears, the ERC may allow an exception from any provision of these Revised Financial Guidelines, if such is found to be in public interest and is not contrary to laws or any other related rules and regulations.

ARTICLE VIII
SEPARABILITY CLAUSE

If for any reason, any part or section of these Revised Financial Guidelines is declared unconstitutional or invalid, the other parts or sections hereof which are not affected thereby shall continue to be in full force and effect.

ARTICLE IX
APPLICABILITY AND REPEALING CLAUSE

The existing rules otherwise inconsistent herewith are hereby repealed or modified accordingly.

ARTICLE X
EFFECTIVITY

These Revised Financial Guidelines shall take effect fifteen (15) days after its publication in a newspaper of general circulation in the Philippines.

Let copies of these Revised Financial Guidelines be furnished to the University of the Philippines Law Center – Office of the National Administrative Register (UPLC-ONAR).

Pasig City, 11 November 2020.

AGNES VST DEVANADERA
Chairperson and CEO

ERC
Office of the Chairperson
AVSTD-2021-02-510-0048

ALEXIS M. LUMBATAN
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